Auchan

OIKOS8

OIKOS thinks out of any Box

Auchan

Store Network (Hungary)
- 19 hypermarkets
- 5 supermarkets
- Nationwide retail coverage
- Strong dominance of hypermarket format

Customer Loyalty
- Loyalty program is key driver
- 55% of transactions via loyalty cards
- 1M+ registered members
- 49% regular shoppers (of loyal members)
- 90%+ visit at least once per year

Strategic Direction
- Focus on modernizing hypermarket model
- Not shifting to discount format
- Improve customer experience & relevance
- Especially targeting younger customers

Company Overview
- Auchan Retail is a French international grocery retailer
- Operates large-format hypermarkets and supermarkets
- Focus on wide assortment and destination shopping

Revenue Drivers
- High basket value per visit
- Strong promotional campaigns & supplier activation
- Cross-category purchases (food + non-food)

Business Model
- Large-format retail (hypermarket-centered)
- One-stop shopping experience
- Combines food + non-food categories
- Focus on planned shopping trips

Task 1 Design a scalable concept with innovative ideas for repurposing the 2,000–4,000 m^2 space to enhance customer experience

How can shopping in Auchan be turned into a culture for Hungarians, through scalable and non-institutional changes in the short term?

Task 2 Detail the implementation and impact of your project

Turn Auchan from a transactional hypermarket into a repeatable cultural-social destination through modular, low-cost, event-based activations.

Shift from “shopping place” → “social place”

Instead of:

•people come → buy → leave

You want:

•people come → stay → interact → return even without urgent shopping

- How?
- Why?
- What?

International Benchmark Analysis

Site Analysis

Financial Analysis

International Benchmark

Overview
Analysis
Strategy
Impact

1. CARREFOUR
Multi-functional hub

- Partners with brands like Fnac, Darty in-store
- Increases visit value beyond grocery shopping

LESSON FOR AUCHAN:
Introduce local services: pharmacy, post office, fitness, tech services, etc.

2. IKEA
City concept

- IKEA Planning Studios in city centers
- Focus on consultations & inspiration, not only products

LESSON FOR AUCHAN:
Create a "Convenience & Inspiration Center" for advice on healthy living, home management, budgeting.

3. WHOLE FOODS MARKET
Gastro experience

- In-store restaurants & cooking classes
- Turns shopping into a food experience

LESSON FOR AUCHAN:
Create gastro zones, live cooking, healthy food education.

4. EDEKA
Gastro-tourism & engagement

- Show kitchens & cooking classes with in-store products
- Gives knowledge and builds loyalty

LESSON FOR AUCHAN:
Launch "Healthy Living Academy" with chefs, workshops, and product education.

5. TESCO
Hyper-localizing

- Supports local farmers & artisans
- Community tables, small libraries in-store

LESSON FOR AUCHAN:
Create "Local Market" area inside stores and strengthen partnership with local producers.

6. KROGER
Smart digital experience

- Smart shelves, digital price tags
- Personalized offers & recipes via app

LESSON FOR AUCHAN:
Use Bizalomkártya data for personalized offers in-app near shelves.

WHY THIS WORKS FOR HUNGARY?

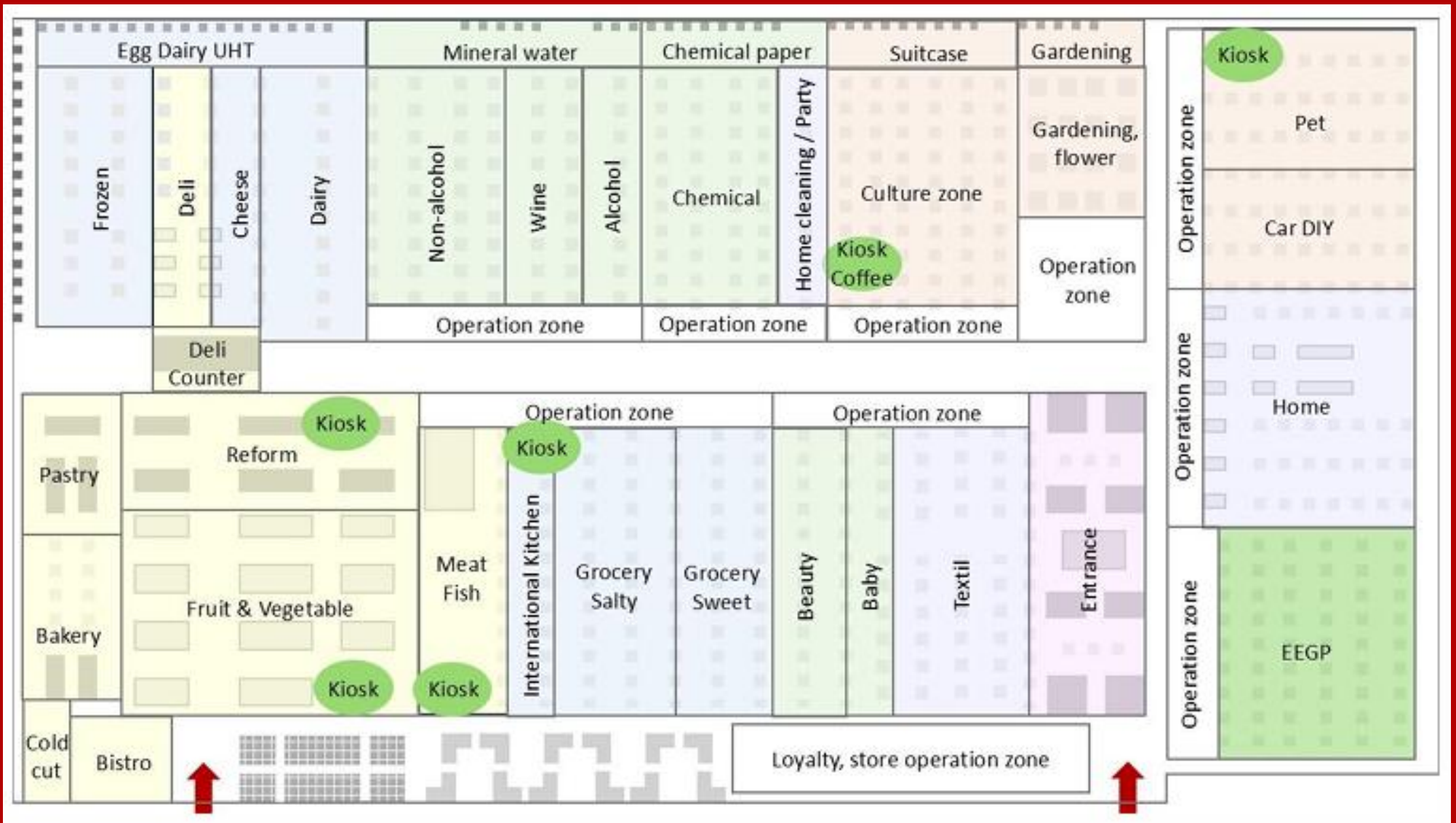
- ☑ Hungarians value community & experiences
- ☑ Strong interest in gastronomy, culture, and local products
- ☑ Retail spaces are becoming lifestyle destinations
- ☑ Auchan has the space, reach, and trust to lead this change

STRATEGIC POSITIONING

Auchan becomes more than a hypermarket.
It becomes a cultural heart of the community.

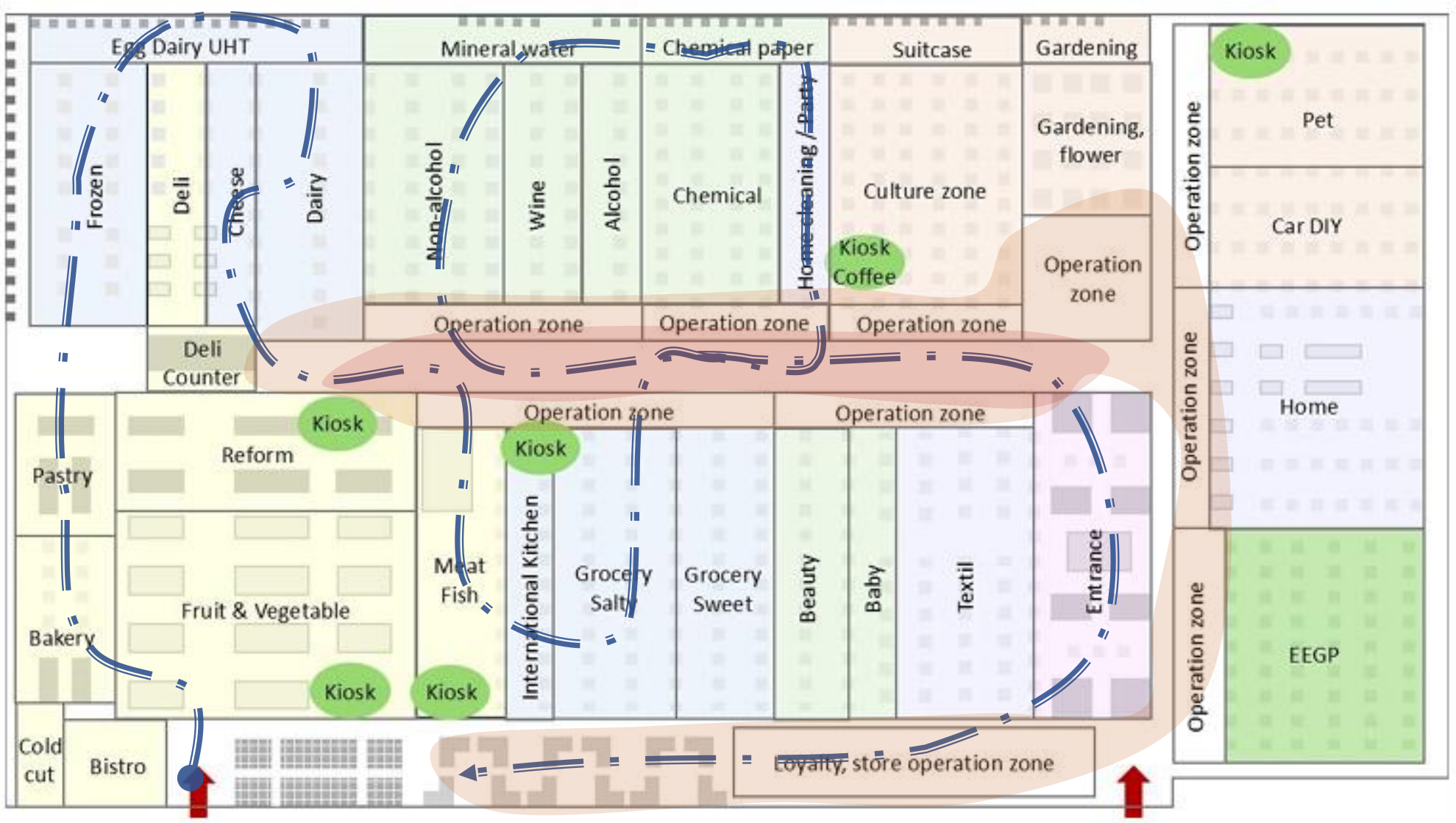
YOUR PLACE. YOUR COMMUNITY. YOUR AUCHAN.

Site Analysis



Site Analysis

Example of typical route



Typical Daily Shopping Basket (Top 10 Items)

1. Bread
2. Eggs
3. Milk
4. Cheese
5. Chicken / Meat
6. Fruits
7. Vegetables
8. Butter
9. Toilet Paper
10. Coffee

Site Analysis

Overview
Analysis
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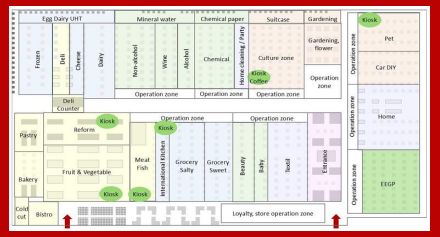
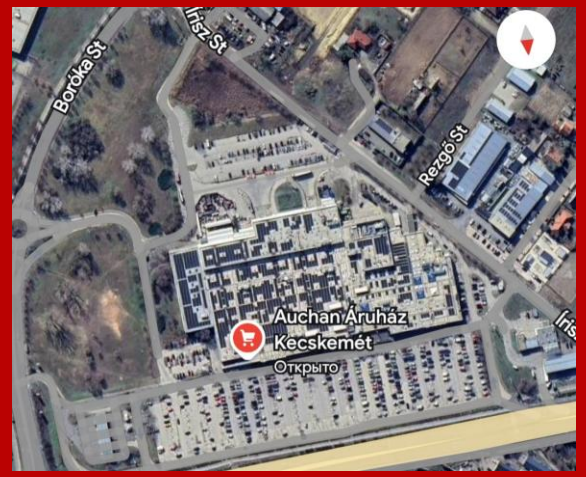
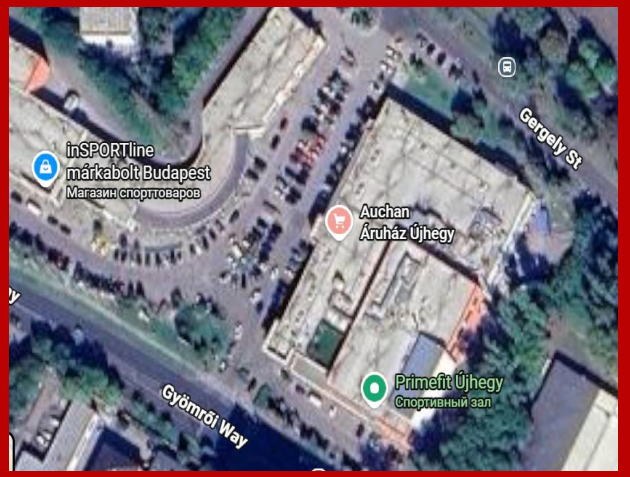
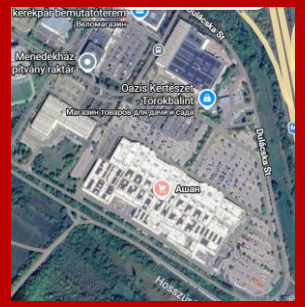
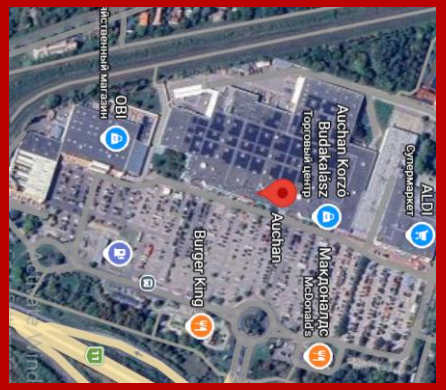
Impact

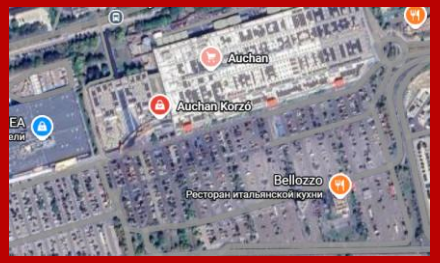


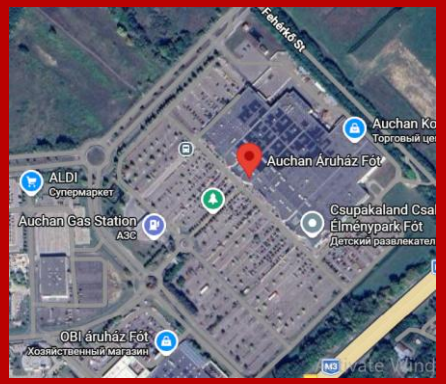


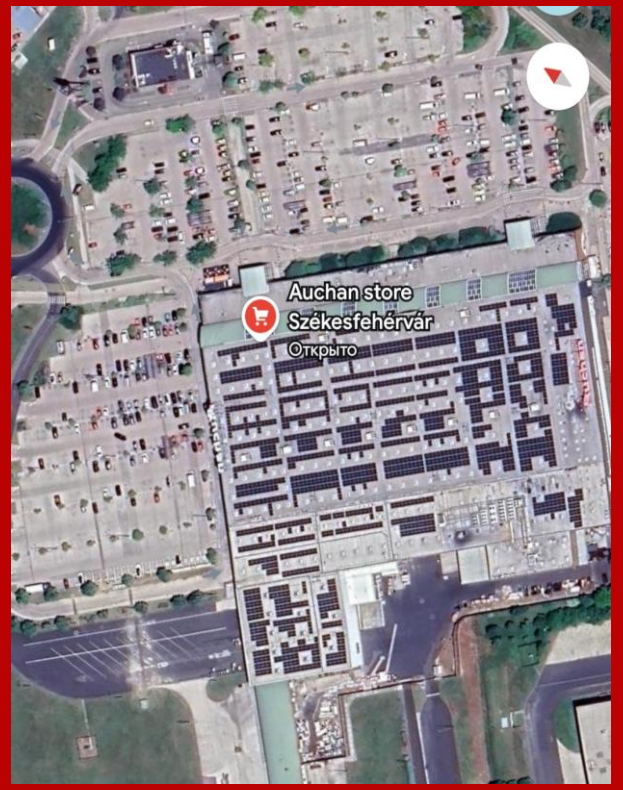


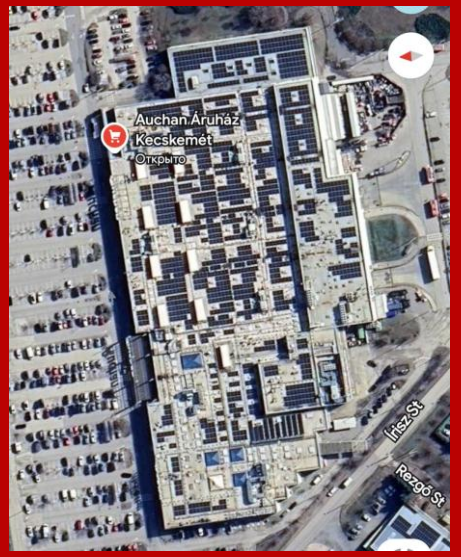


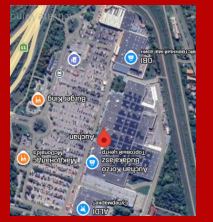












Site Analysis

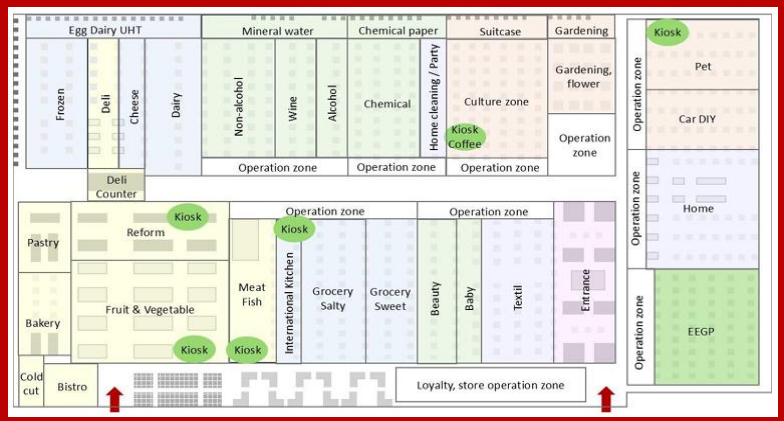
6000–12000m

The interval
8000–16000m

AND WE CAN USE IT TOO. . .

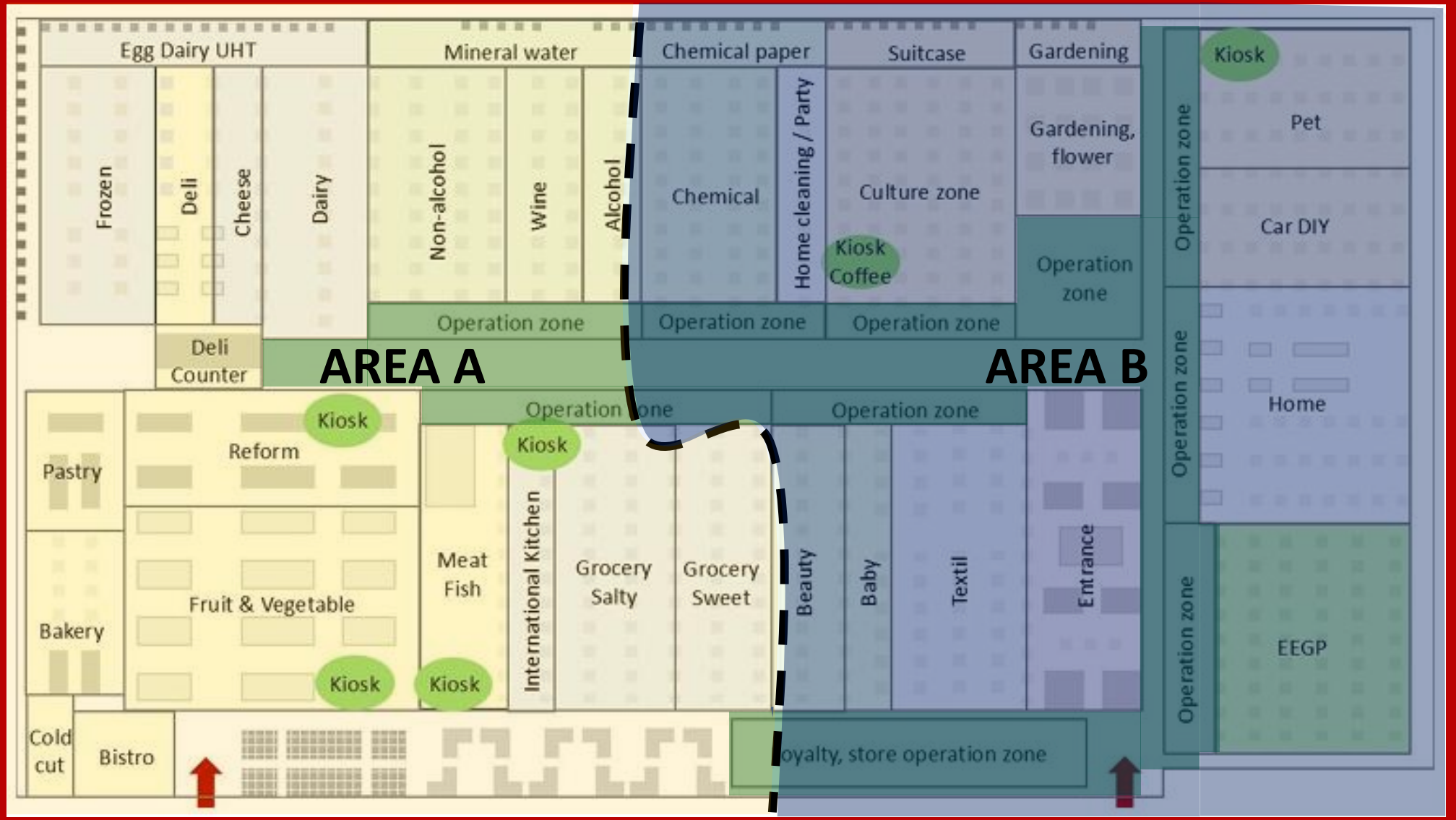
+

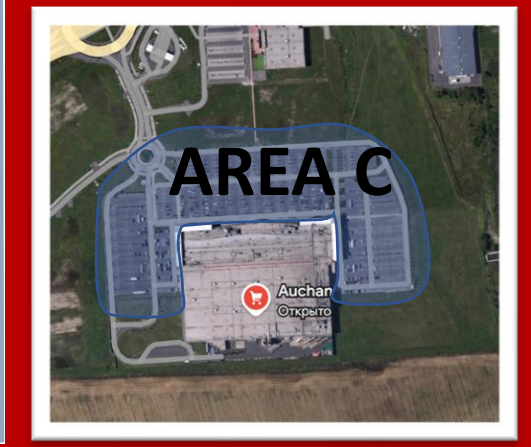
2000–4000m



Site Analysis

Food Products | Non-Food Products





Financial Analysis

2024 fin. report is the most recent available data

FINANCIAL RATIOS

RATIO	2020	2021	2022	2023	2024
EBIT margin (%)	2.0%	2.0%	2.1%	2.2%	2.4%
Net profit margin (%)	1.2%	1.3%	1.3%	1.4%	1.4%
Return on assets (ROA)	2.3%	2.7%	2.8%	2.8%	3.0%
Return on equity (ROE)	7.0%	8.0%	8.7%	8.5%	8.8%
Current ratio	0.88	0.93	0.95	1.02	1.07
Debt to equity (D/E)	0.77	0.72	0.68	0.66	0.61

Note: All figures are based on the consolidated data of Auchan Hungary Ltd. for the year 2024.

Source: Auchan Hungary Ltd. – 2024 annual report (consolidated data)

Financial Analysis

BALANCE SHEET – MAIN ITEMS (billion HUF)

	2023	2024	Change
Non-current assets	183.6	185.0	+0.8%
Current assets	161.0	171.0	+6.2%
Total assets	**355.7**	**356.0**	**+0.1%**
Equity (book value)	116.5	120.8	+3.7%
Liabilities	239.2	235.2	-1.7%
Total equity & liabilities	355.7	356.0	+0.1%

CASH FLOW (billion HUF)

	2020	2021	2022	2023	2024
Operating cash flow	22.3	23.7	26.1	27.2	28.5
Investing cash flow	-12.1	-15.4	-16.8	-17.2	-18.6
Financing cash flow	-8.3	-8.4	-8.7	-9.1	-9.3
Change in cash	1.9	-0.1	0.6	0.9	0.6
Cash & cash equivalents at year-end	7.4	7.3	7.9	11.1	13.2

SALES REVENUE BREAKDOWN – 2024

89% of sales revenue is generated from domestic activities.

OPERATING PROFIT (EBIT) AND EBIT MARGIN

Note: All figures are based on the consolidated data of Auchan Hungary Ltd. for the year 2024.

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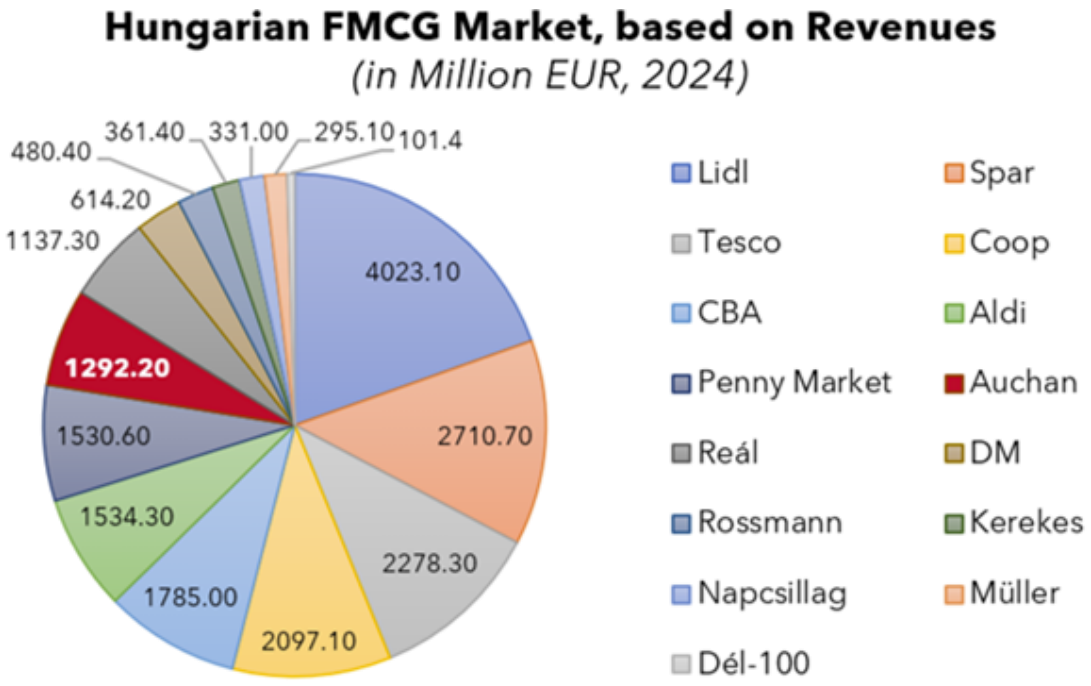
Market Analysis



Retail chain	store number			
	2022	2023	2024	2025
Penny	228	231	238	241
Lidl	197	202	211	216
Aldi	163	172	182	185
SPAR Supermarket	308	300	282	285
INTERSPAR Hypermarket	35	36	36	36
City SPAR	32	32	29	39
SPAR Franchise	280	305	305	314
Tesco Hyper	112	112	112	112
Tesco Super	33	33	33	36
Tesco Express	52	52	53	54
Metro	13	13	13	13

"Auchan operates in a highly competitive retail market where growth is driven by expanding e-commerce, price-sensitive consumers, and increasing demand for efficient omnichannel shopping experiences"

Sooo. . .

It's time for Strategy

Auchan

4 STRATEGY BRANCHES

1 PUBLIC CULTURAL HUB

Transform Auchan from a purely shopping destination into an open, community-oriented space where people can spend time beyond purchasing goods.

- Free seating and relaxation areas
- Walking and social interaction spaces
- A "stay longer" environment that encourages visitors to spend time rather than simply shop and leave

2 IN-STORE CULTURAL CENTER

Create a small cultural venue inside the hypermarket to host regular activities and strengthen community engagement.

- A small stage for concerts, stand-up comedy, school performances, and youth events
- A weekly calendar of events
- Collaboration with local artists, performers, and cultural organizations

3 DEDICATED EVENTS DEPARTMENT

Establish an internal event management unit responsible for planning and coordinating activities throughout the year.

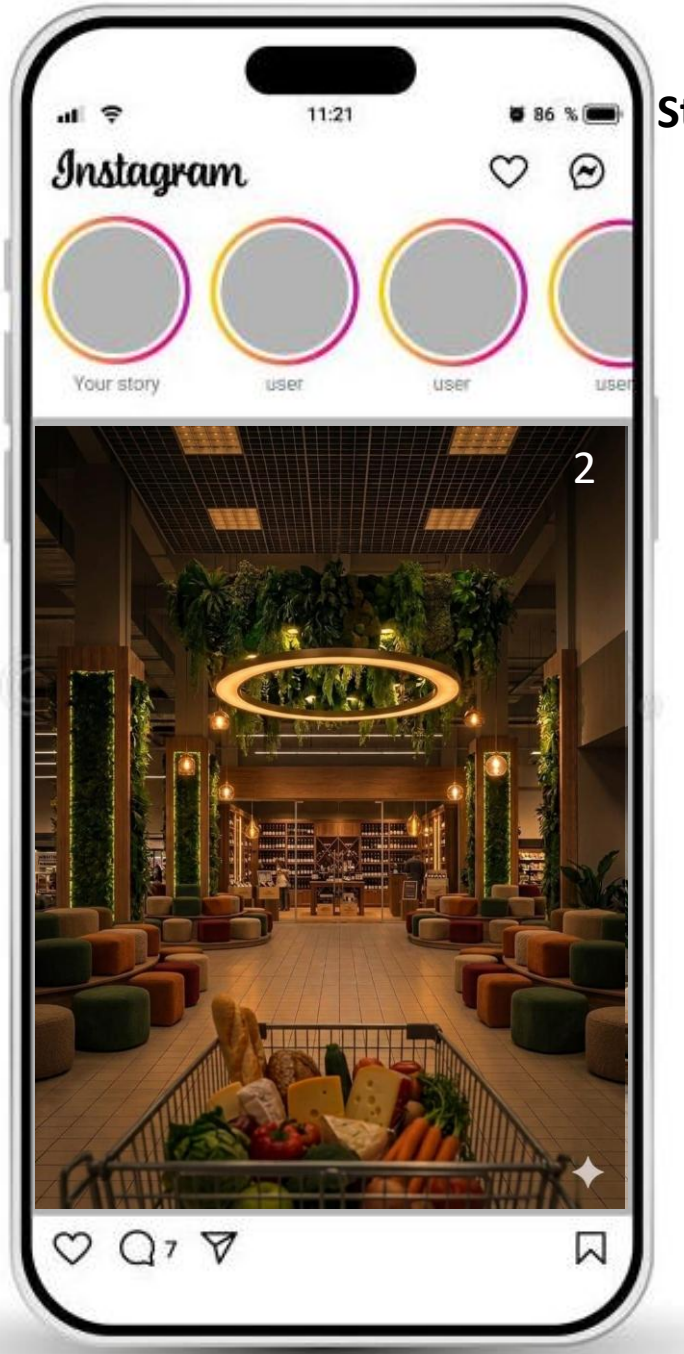
- Organizing live music, seasonal celebrations, and food festivals
- Managing the event calendar and partnerships
- Collaborating with local communities, brands, and institutions

4 PARKING LOT TRANSFORMATION INTO AN OPEN-AIR CINEMA

Utilize the parking area as a multi-purpose space by introducing evening entertainment activities.

- Drive-in cinema screenings during evening hours
- Dual use of the space: parking during the day, cultural venue at night
- A low-cost, high-impact initiative that increases visitor engagement and enhances the Auchan experience

PUBLIC CULTURAL HUB



#All concepts generated by Gemini AI

IN-STORE CULTURAL CENTER

#All concepts generated by Gemini AI

PARKING LOT TRANSFORMATION INTO AN OPEN-AIR CINEMA

Overview
Analysis
Strategy
Impact

for 360 view

#All concepts generated by Gemini AI

DEDICATED EVENTS DEPARTMENT

EXPECTED BENEFITS

- Increase in foot traffic
- Longer customer dwell time
- Higher sales and basket size
- Stronger community engagement
- Enhanced brand image
- More repeat visitors
- Valuable partnerships and sponsorships
- Positive social impact

EVENT DEPARTMENT STRUCTURE

- Event Manager
- Partnership Coordinator
- Marketing & Communications Specialist
- Technical & Logistics Coordinator
- Volunteer Coordinator
- Event Assistants

They organize this all. . .

1 BUILD AN ANNUAL EVENT STRATEGY

Create a yearly event plan divided into seasons.

- **SPRING** Family Days & School Festivals
- **SUMMER** Outdoor Cinema & Live Music
- **AUTUMN** Food & Harvest Festivals
- **WINTER** Christmas Market & Charity Events

GOAL: Ensure there is always a reason for customers to return.

2 DEVELOP A WEEKLY EVENT CALENDAR

Maintain a predictable schedule.

DAY	EVENT
Monday	Children's Workshops
Wednesday	Live Acoustic Music
Friday	Stand-up Comedy
Saturday	Family Entertainment
Sunday	Local Art and Craft Fair

BENEFIT: Visitors begin to associate Auchan with regular entertainment.

3 CREATE STRATEGIC PARTNERSHIPS

Work with:

- Local schools and universities
- Cultural organizations
- Music academies
- Dance studios
- Local artists and performers
- Food producers and local brands

This reduces event costs while strengthening community ties.

4 LAUNCH A COMMUNITY TALENT PROGRAM

Introduce an "Auchan Community Stage".

- Young musicians
- School choirs
- Dance groups
- Amateur comedians
- Local bands

This generates free publicity because participants invite family and friends.

5 IMPLEMENT AN EVENT MARKETING CAMPAIGN

Promote every event through:

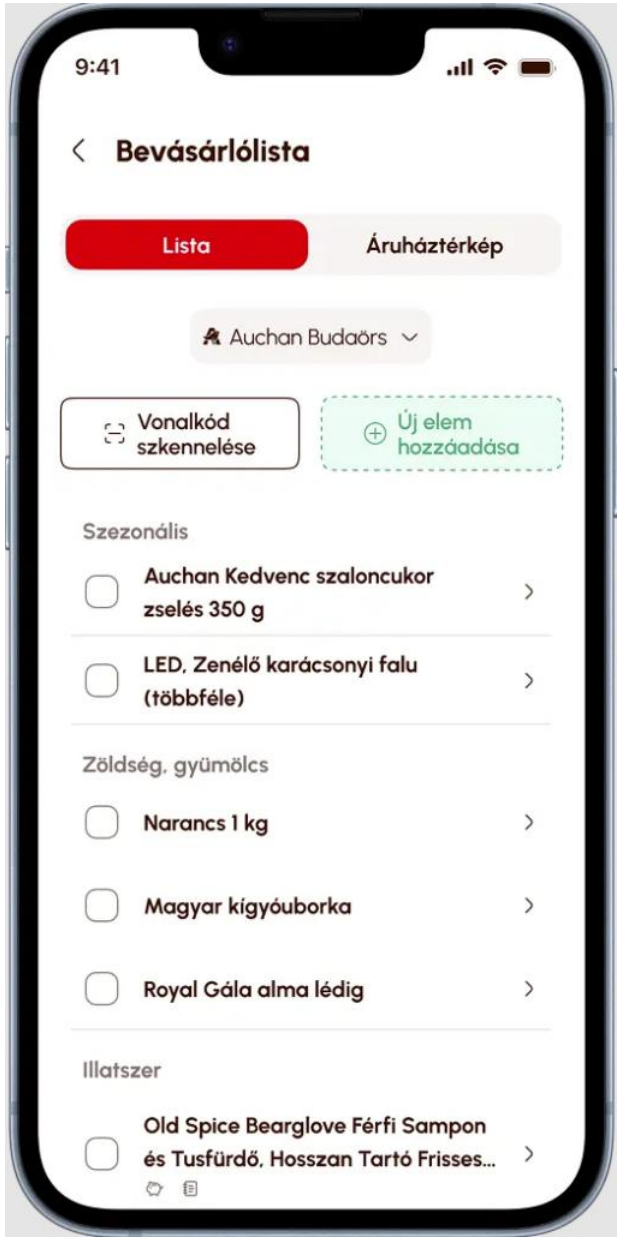
- Social media
- Email newsletters
- In-store digital screens
- Posters and banners
- Local media partnerships

Create a monthly "What's Happening at Auchan" guide.

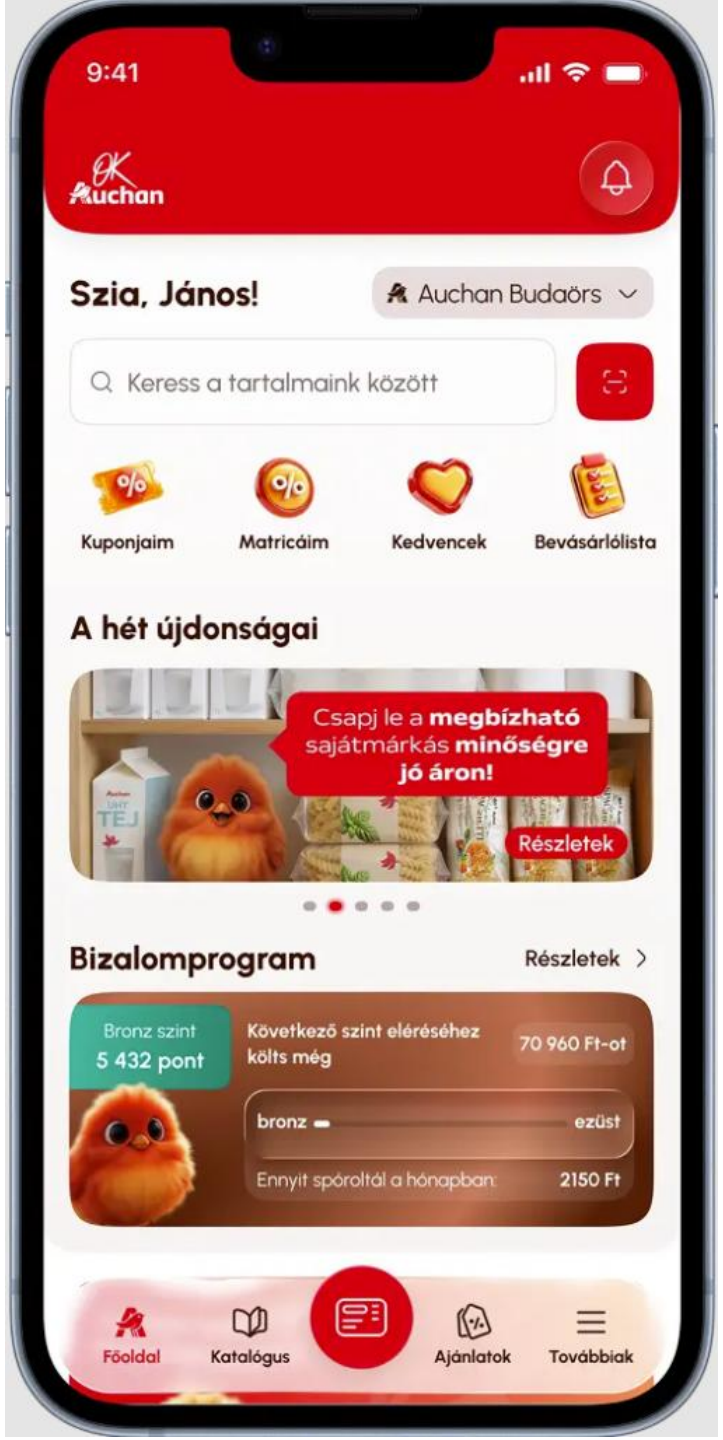
Every week

OkAuchan is the official mobile application of the Hungarian Auchan network

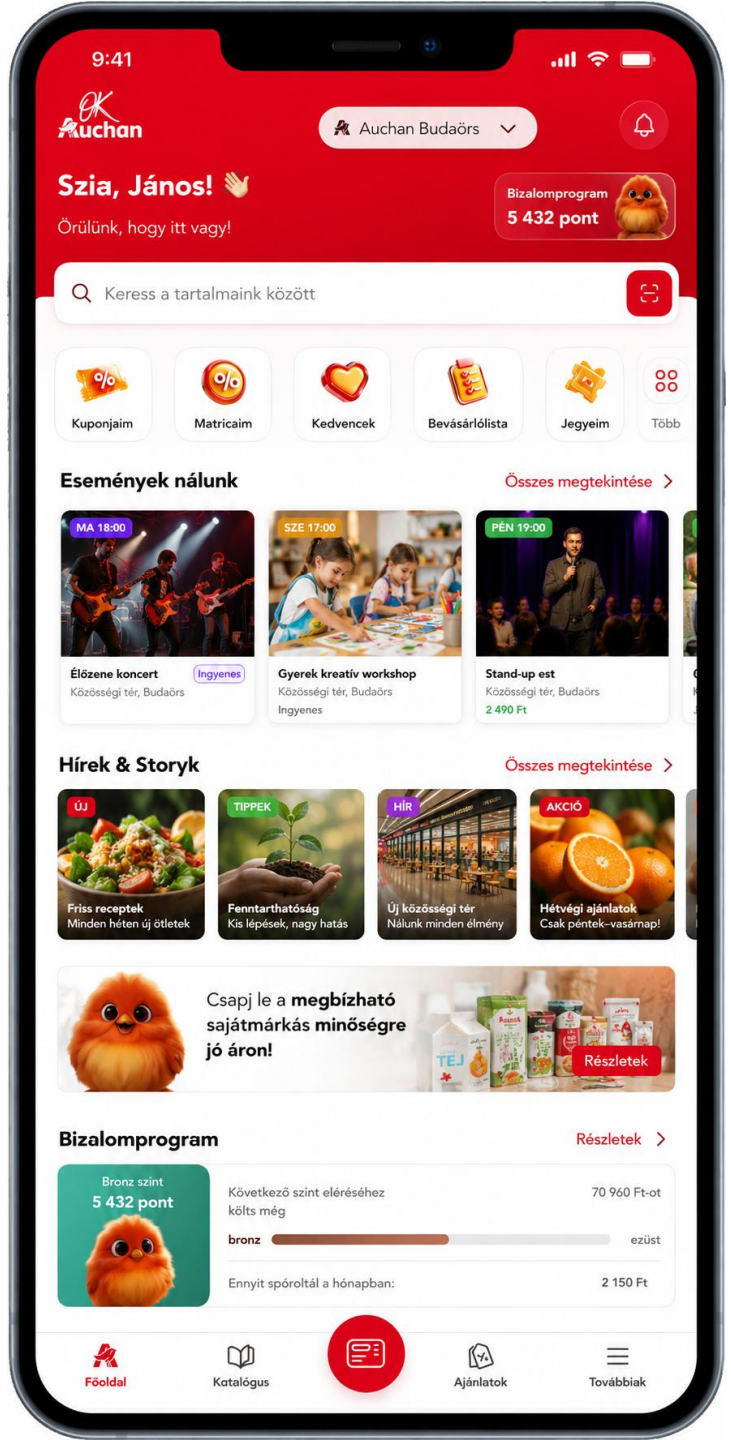
9:41
Üdvözöl az
OK Auchan


9:41
Bevásárlólista
Lista
Áruháztérkép
Auchan Budaörs
Vonalkód szkennelése
Új elem hozzáadása
Szezonális
Auchan Kedvenc szaloncukor zselés 350 g
LED, Zenélő karácsonyi falu (többféle)
Zöldség, gyümölcs
Narancs 1 kg
Magyar kígyóuborka
Royal Gála alma lédig
Illatszer
Old Spice Bearglove Férfi Sampon és Tusfürdő, Hosszan Tartó Frisses...

9:41
OK Auchan
Szia, János!
Auchan Budaörs
Keress a tartalmaink között
Kuponjaim
Matricáim
Kedvencek
Bevásárlólista
A hét újdonságai
Csapj le a megbízható sajátmárkás minőségre jó áron!
Részletek
Bizalomprogram
Részletek
Bronz szint
5 432 pont
Következő szint eléréséhez költs még
70 960 Ft-ot
bronz
ezüst
Ennyit spóroltál a hónapban:
2150 Ft
Főoldal
Katalógus
Ajánlatok
Továbbiak



- **New "Events & Stories" Section Added on Home Screen**
- **Event Cards with Visual Scheduling**
- **"Hírek & Storyk" (News & Stories) Section Introduced**
- **Stronger Content Hierarchy on Home Screen**
- **More Engaging Visual Browsing Experience**
- **Improved User Engagement Flow**



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6 DEVELOP SPONSORSHIP OPPORTUNITIES

Allow brands to sponsor events.

Examples:

- Beverage companies sponsoring concerts
- Toy brands sponsoring children's festivals
- Local restaurants sponsoring food fairs

This helps offset operational costs.

7 INTRODUCE CUSTOMER LOYALTY INTEGRATION

Reward event participation.

- Extra loyalty points for attending events
- Discounts after event participation
- Event passports with collectible stamps
- Special offers available only during festivals

8 MEASURE EVENT PERFORMANCE (KPIs)

Key indicators:

- Event attendance
- Increase in foot traffic
- Average customer dwell time
- Sales uplift during event days
- Customer satisfaction scores
- Number of partnership agreements
- Social media engagement
- Repeat visitor rate

9 CREATE A VOLUNTEER AND AMBASSADOR PROGRAM

Recruit:

- University students
- Community volunteers
- Youth organizations

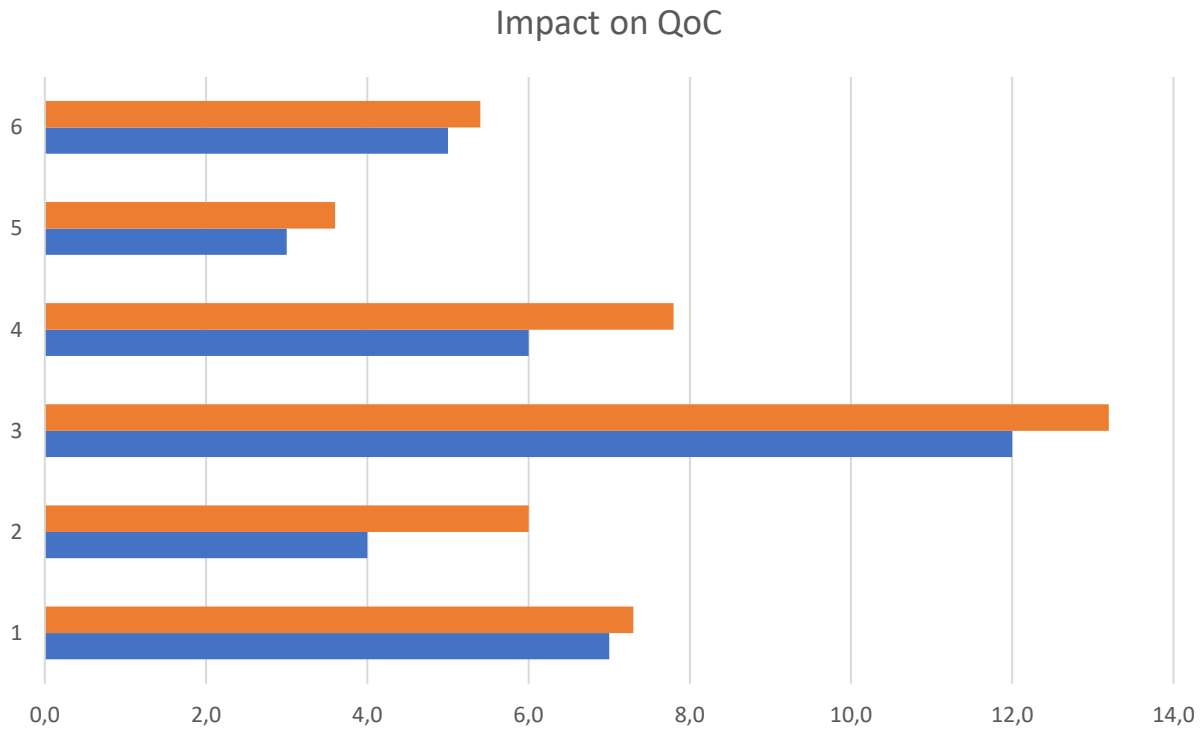
They can assist with event operations while gaining practical experience.

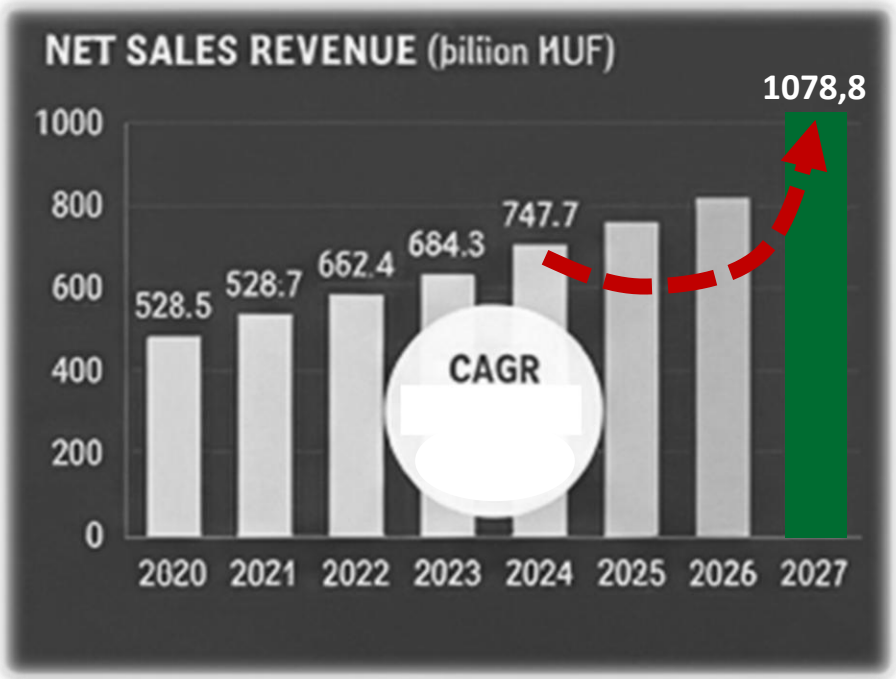
And now.

IMPACT

Customer Personas	(%)		motivation	impact
Bargain-Hunter Ágota	24%	Baby Boomers / Gen X	Consumers are highly sensitive to price changes and are strongly influenced by discounts and promotions.	Need to ensure low prices and provide attractive promotions and discounts.
Experience-Seeker Éva	21%	Millennials / Gen X	People like to try new products; shoppers are attracted by variety and new offerings.	Hypermarket trend: development of large stores (around 2000–4000 m²) to meet consumer demand.
Local Helga (Տեղականը	20%	Gen X / Baby Boomers	Consumers value socially responsible products, waste reduction, and ecological awareness.	Increase availability of local producers and introduce a Farmer's Market concept.
Conscious Tibor/Tekla	16%	Millennials / Gen Z	Focus on healthy lifestyle, Bio/Organic and sustainable products.	Hypermarket trend: creation of dedicated bio/organic and healthy food sections.
Get-it-Done Lóri (Արագ	16%	Gen Z / Millennials	Shopping is seen as a leisure activity; people also shop at discount stores such as Lidl/Aldi.	Development of loyalty programs and self-service technologies (apps, kiosks, self-checkout).
Digital Borka	2%	Gen Z	Consumers are tech-savvy, use apps, and compare prices through digital platforms and online tools.	Creation of a digital ecosystem and omnichannel integration (e.g., Auchan GO-type solutions).

Bargain-Hunter Ágota	1 774 000	7,0	5,0	7,3	532 200
Experience-Seeker Éva	1 537 000	4,0	50,0	6,0	3 074 000
Local Helga	1 504 000	12,0	10,0	13,2	1 804 800
Conscious Tibor/Tekla	1 209 000	6,0	30,0	7,8	2 176 200
Get-it-Done Lóri	1 191 000	3,0	20,0	3,6	714 600
Digital Borka	176 000	5,0	40,0	5,4	70 400
	7 391 000				8 372 200





10-13%

	before/after	
Daily Transactions	€ 4 500,00	€ 5 085,00
Base Daily Revenue (EUR)	€99 000	€ 111 870,00
Base Monthly Revenue (EUR)	€2 970 000	€ 3 356 100,00
Base Annual Revenue (EUR)	€36 135 000	€ 40 832 550,00
Base Annual EBITDA (EUR)	€1 152 336	€ 1 302 139,37

Appendix

AUCHAN REFORMS - FINANCIAL MODEL 2025

BLOCK 1: Elo Group Official (2025)			
Group Annual Revenue (Milion EUR)	32 142 €		36 320,46
Group Annual EBITDA (M EUR)	1 025 €		1 158,25
Group EBITDA Margin	3,19% €		0,04
BLOCK 2:			
Average Basket (EUR)	€22 €		24,86
Daily Transactions	€ 4 500,00 €		5 085,00
Base Daily Revenue (EUR)	€99 000 €		111 870,00
Base Monthly Revenue (EUR)	€2 970 000 €		3 356 100,00
Base Annual Revenue (EUR)	€36 135 000 €		40 832 550,00
Base Annual EBITDA (EUR)	€1 152 336 €		1 302 139,37
BLOCK 3: Reform Impact & ROI			
Incremental Monthly Transactions	24975 €		28 221,75
Incremental Monthly Revenue (EUR)	€549 450 €		620 878,50
Incremental Annual Revenue (EUR)	€6 593 400 €		7 450 542,00
Incremental Daily Revenue (EUR)	€18 064 €		20 412,44
Incremental EBITDA Margin	12,0% €		0,14
Incremental Annual EBITDA (EUR)	€791 208 €		894 065,04
Project CAPEX (Investment EUR)	€750 000 €		847 500,00
Payback Period (Months)	11,4 €		12,85
Payback Period (Years)	0,95 €		1,07

In € millions	2023	2022	Change at current exchange rates	Change at constant exchange rates
Revenue	32902	33485	-1,7%	+0,3%
Gross profit	8082	7963	+1,5%	+3,6%
Gross profit margin	24,6%	23,8%	0.8pp	0.8 pp
EBITDA	1528	1697	-10,0%	-7,3%
EBITDA margin	4,6%	5,1%	-0,4 pp	0.4 pp
Operating profit	-14	366	n.a.	n.a.
Net income	-378	42	n.a.	n.a.

In € millions	2025	2024	Δ %
Revenue	32 142	31 669	+1,5%
Gross margin	7 374	7 303	+1,0%
% revenue	22,9%	23,1%	-0,0 pt
Payroll expenses	-4 323	-4 294	+0,7%
External expenses	-2 099	-2 155	-2,6%
% revenue	20,0%	20,4%	+0,0 pt
EBITDA	1 025	883	+16,1%
% revenue	3,2%	2,8%	+0,0 pt

In millions of euros Excluding Auchan Hungary	2024	2023	Change at constant exchange rates
Revenues	32290	31776	+2,1 %
Gross profit	7907	7818	+2,0 %
Gross profit margin	24,5%	24,6%	0,0 pt
EBITDA	1224	1472	-16,8 %
EBITDA margin	3,8%	4,6%	0,0 pt
Other operating income/expenses	-868	-382	n.a.
Operating profit	-846	-40	n.a.
Net income/loss	-1223	-378	n.a.
Adjusted net income/loss[3]	-92	44	n.a.
Free cash flow	-224	13	n.a.
Net financial debt at 31 December	2921	2917	
o/w Auchan Retail	6	-367	n.a.
o/w New Immo Holding	2905	3321	

Country	Hypermarkets	Supermarkets	Convenience stores	Digital
France	145	273	7	203
Spain	80	271	49	
Portugal	31	5	238	36
Luxembourg	3			4
Poland	70	30	6	
Hungary	19	5	2	5
Romania	33	8	398	
Ukraine	17	4	15	1
Russia	94	137		
Senegal	1	30	12	1
Ivory Coast		8	5	
TOTAL	493	771	732	250

Retail chain	store number				Key characteristics	Motto / positioning
	2022	2023	2024	2025		
Penny	228	231	238	241	600 m² sales area, standardized format nationwide coverage	PENNY positions itself as a discount retailer that combines low prices with a strong emphasis on Hungarian products.
Lidl	197	202	211	216	Discount format, ~1,100 m², nationwide coverage	Lidl has shifted its brand message toward a lifestyle- and feeling-driven proposition, moving from "Because it's worth it" to a more emotional positioning.
Aldi	163	172	182	185	Discount format, ~900 m², nationwide coverage	ALDI is typically located close to Lidl stores, reinforcing a direct head-to-head competitive placement strategy.
SPAR Supermarket	308	300	282	285	600–1,000 m² units, nationwide coverage	SPAR Supermarkets focus on a fresh-food-heavy assortment and a broad selection of food products.
INTERSPAR Hypermarket	35	36	36	36	3,000–4,000 m² hypermarket format	INTERSPAR hypermarkets are usually located in malls and larger cities, offering a wide food assortment alongside a non-food range.
City SPAR	32	32	29	39	~300 m² convenience format, with Bistro	City SPAR is positioned as quality-focused and operates only in Budapest units.
SPAR Franchise	280	305	305	314	~100 m² format, Bistro operated by the petrol station operator	The SPAR franchise network is built on nationwide coverage and leverages petrol station synergy.
Tesco Hyper	112	112	112	112	3,000 m² and 6,000 m² units	Tesco Hyper stores are standardized and have been downsizing, while also adding partner collaborations, such as MediaMarkt.
Tesco Super	33	33	33	36	Standard 1,000 m² supermarkets, nationwide coverage	—
Tesco Express	52	52	53	54	Convenience format, ~300 m²	Tesco Express is testing a pilot concept called "Tesco Premier," positioned as a discount-style convenience model.
Metro	13	13	13	13	Hypermarket-like format combined with HoReCa wholesale	—

Revenue Tier (Annual Gross Sales in HUF)	Applicable Progressive Tax Rate (2025)
Up to 500 Million	0%
500 Million to 30 Billion	0.1%
30 Billion to 100 Billion	0.4%
Above 100 Billion	2.7% to 4.5% (depending on specific legislative amendments)

AUCHAN HUNGARY STORE FOOTPRINT

Budapest

Hypermarkets(5)
- Óbuda
- Savoya
- Soroksár
- Csömör
- Szigetszentmiklós

Supermarkets(1)
- Újhegy

County seats

Hypermarkets(7)
- Debrecen
- Kecskemét
- Miskolc József Attila
- Miskolc Pesti út
- Szeged
- Székesfehérvár
- Szolnok

Supermarkets(4)
- Sopron
- Győr
- Szekszárd
- Zalaegerszeg

Other cities

Hypermarkets(7)
- Budakalász
- Budaörs
- Dunakeszi
- Fót
- Maglód
- Solymár
- Törökbálint

Auchan HUNGARY

KEY FINANCIAL FIGURES – 2024

NET SALES REVENUE	OPERATING PROFIT (EBIT)	PROFIT BEFORE TAX	NET PROFIT	EQUITY	TOTAL ASSETS
747.1 billion HUF	17.6 billion HUF	15.0 billion HUF	10.6 billion HUF	120.8 billion HUF	356.0 billion HUF

Source: Auchan Hungary Ltd. – 2024 annual report (consolidated data)

COMPANY OVERVIEW

Auchan Hungary is the Hungarian subsidiary of Auchan Retail International, one of the leading international retailers, operating a hypermarket, supermarket, DIY store and online commerce network across the country.

- **Foundation:** 1996
- **Headquarters:** Törökbálint, Hungary
- **Business units:** Hypermarkets, supermarkets, DIY stores, online
- **Number of employees (2024):** ~9,000
- **Number of stores (2024):** 24 hypermarkets, 6 supermarkets

NET SALES REVENUE (billion HUF)

SALES REVENUE BREAKDOWN – 2024

Hypermarkets	69%
Supermarkets	13%
DIY stores	10%
Online sales	5%
Other	3%

89% of sales revenue is generated from domestic activities.

OPERATING PROFIT (EBIT) AND EBIT MARGIN

2024 – KEY HIGHLIGHTS

- Net sales revenue reached 747.1 billion HUF, up 6.1% compared to the previous year.
- Operating profit (EBIT) increased by 12.6% to 17.6 billion HUF, with an EBIT margin of 2.4%.
- Net profit increased by 12.0% to 10.6 billion HUF.
- Significant investments in store modernization and online channel development.
- Strong financial position and solid equity base.

INCOME STATEMENT SUMMARY (billion HUF)

	2020	2021	2022	2023	2024
Net sales revenue	528.5	587.8	644.3	704.2	747.1
Operating profit (EBIT)	10.6	12.0	13.8	15.7	17.6
EBIT margin (%)	2.0%	2.0%	2.1%	2.2%	2.4%
Profit before tax	8.8	10.2	11.7	13.4	15.0
Net profit	6.2	7.4	8.5	9.5	10.6
Net profit margin (%)	1.2%	1.3%	1.3%	1.4%	1.4%

BALANCE SHEET – MAIN ITEMS (billion HUF)

	2023	2024	Change
Non-current assets	183.6	185.0	+0.8%
Current assets	161.0	171.0	+6.2%
Total assets	355.7	356.0	+0.1%
Equity (book value)	116.5	120.8	+3.7%
Liabilities	239.2	235.2	-1.7%
Total equity & liabilities	355.7	356.0	+0.1%

CASH FLOW (billion HUF)

	2020	2021	2022	2023	2024
Operating cash flow	22.3	23.7	26.1	27.2	28.5
Investing cash flow	-12.1	-15.4	-16.8	-17.2	-18.6
Financing cash flow	-8.3	-8.4	-8.7	-9.1	-9.3
Change in cash	1.9	-0.1	0.6	0.9	0.6
Cash & cash equivalents at year-end	7.4	7.3	7.9	11.1	13.2

FINANCIAL RATIOS

RATIO	2020	2021	2022	2023	2024
EBIT margin (%)	2.0%	2.0%	2.1%	2.2%	2.4%
Net profit margin (%)	1.2%	1.3%	1.3%	1.4%	1.4%
Return on assets (ROA)	2.3%	2.7%	2.8%	2.8%	3.0%
Return on equity (ROE)	7.0%	8.0%	8.7%	8.5%	8.8%
Current ratio	0.88	0.93	0.95	1.02	1.07
Debt to equity (D/E)	0.77	0.72	0.68	0.66	0.61

OPERATIONAL PERFORMANCE

SALES PRODUCTIVITY (Revenue / m²)	STORE PRODUCTIVITY (Revenue / store)	INVENTORY TURNOVER (times)
9.6x	31.2x	2.10x
Average sales productivity	Average revenue per store	Inventory efficiency

SWOT ANALYSIS

STRENGTHS
- Strong brand and market position
- Wide store network
- Wide product range and services
- Efficient supply chain
- Omnichannel presence

WEAKNESSES
- High operating costs
- Exposure to inflation
- Changing consumer habits
- Dependence on the domestic market

OPPORTUNITIES
- Growth of e-commerce
- Store modernization and efficiency
- Expanding loyalty programs
- Sustainability and green initiatives

THREATS
- High inflation and falling purchasing power
- Intense competition
- Regulatory changes
- Economic uncertainty

OUTLOOK – 2025

- ☑ Moderate sales revenue growth expected
- ☑ Focus on cost efficiency and profitability improvement
- ☑ Strengthen online channel and digital services
- ☑ Invest in store modernization and sustainability
- ☑ Deliver value and quality to customers

SUMMARY

Auchan Hungary achieved a stable financial performance in 2024 with sales and profitability growth. The company focuses on efficiency, customer value and sustainable growth in the coming years.

Note: All figures are based on the consolidated data of Auchan Hungary Ltd. for the year 2024.

Source: Auchan Hungary Ltd. – 2024 annual report (consolidated data)

AUCHAN DEDICATED EVENTS DEPARTMENT
STRATEGY & ACTION PLAN

Transform Auchan into a community lifestyle hub through events, culture and shared experiences.

MORE THAN SHOPPING, A COMMUNITY EXPERIENCE

1 PUBLIC CULTURAL HUB

Transform Auchan from a purely shopping destination into an open, community-oriented space where people can spend time beyond purchasing goods.

- Free seating and relaxation areas
- Walking and social interaction spaces
- A "stay longer" environment that encourages visitors to spend time rather than simply shop and leave

2 IN-STORE CULTURAL CENTER

Create a small cultural venue inside the hypermarket to host regular activities and strengthen community engagement.

- A small stage for concerts, stand-up comedy, school performances, and youth events
- A weekly calendar of events
- Collaboration with local artists, performers, and cultural organizations

3 DEDICATED EVENTS DEPARTMENT

Establish an internal event management unit responsible for planning and coordinating activities throughout the year.

- Organizing live music, seasonal celderations, and food festivals
- Managing the event calendar and partnerships
- Collaborating with local communities, brands, and institutions

4 PARKING LOT TRANSFORMATION INTO AN OPEN-AIR CINEMA

Utilize the parking area as a multi-purpose space by introducing evening entertainment activities.

- Drive-in cinema screenings during evening hours
- Dual use of the space: parking during the day, cultural venue at night
- A low-cost, high-impact initiative that increases visitor engagement and enhances the Auchan experience

TACTICS FOR THE DEDICATED EVENTS DEPARTMENT

1 BUILD AN ANNUAL EVENT STRATEGY

Create a yearly event plan divided into seasons.

- SPRING: Family Days & School Festivals
- SUMMER: Outdoor Cinema & Live Music
- AUTUMN: Food & Harvest Festivals
- WINTER: Christmas Market & Charity Events

GOAL: Ensure there is always a reason for customers to return.

2 DEVELOP A WEEKLY EVENT CALENDAR

Maintain a predictable schedule:

DAY	EVENT
Monday	Children's Workshops
Wednesday	Live Acoustic Music
Friday	Stand-up Comedy
Saturday	Family Entertainment
Sunday	Local Art and Craft Fair

BENEFIT: Visitors begin to associate Auchan with regular entertainment.

3 CREATE STRATEGIC PARTNERSHIPS

Work with:

- Local schools and universities
- Cultural organizations
- Music academies
- Dance studios
- Local artists and performers
- Food producers and local brands

This reduces event costs while strengthening community ties.

4 LAUNCH A COMMUNITY TALENT PROGRAM

Introduce an "Auchan Community Stage"

- Young musicians
- School choirs
- Dance groups
- Amateur comedians
- Local bands

This generates free publicity because participants invite family and friends.

5 IMPLEMENT AN EVENT MARKETING CAMPAIGN

Promote every event through:

- Social media
- Email newsletters
- In-store digital screens
- Posters and banners
- Local media partnerships

Create a monthly "What's Happening at Auchan" guide.

6 DEVELOP SPONSORSHIP OPPORTUNITIES

Allow brands to sponsor events.

Examples:

- Beverage companies sponsoring concerts
- Toy brands sponsoring children's festivals
- Local restaurants sponsoring food fairs

This helps offset operational costs.

7 INTRODUCE CUSTOMER LOYALTY INTEGRATION

Reward event participation.

- Extra loyalty points for attending events
- Discounts after event participation
- Event passports with collectible stamps
- Special offers available only during festivals

8 MEASURE EVENT PERFORMANCE (KPIs)

Key indicators:

- Event attendance
- Increase in foot traffic
- Average customer dwell time
- Sales uplift during event days
- Customer satisfaction scores
- Number of partnership agreements
- Social media engagement
- Repeat visitor rate

9 CREATE A VOLUNTEER AND AMBASSADOR PROGRAM

Recruit:

- University students
- Community volunteers
- Youth organizations

They can assist with event operations while gaining practical experience.

10 ESTABLISH AN AGILE EVENT TEAM STRUCTURE

EVENT DEPARTMENT STRUCTURE

- Event Manager
- Partnership Coordinator
- Marketing & Communications Specialist
- Technical & Logistics Coordinator
- Volunteer Coordinator
- Event Assistants

STRATEGIC OBJECTIVE

Transform Auchan from a transactional retail destination into a community lifestyle hub, increasing customer loyalty, foot traffic, and average time spent in the store through a continuous program of cultural and entertainment events.

EXPECTED BENEFITS

- Increase in foot traffic
- Longer customer dwell time
- Higher sales and basket size
- Stronger community engagement
- Enhanced brand image
- More repeat visitors
- Valuable partnerships and sponsorships
- Positive social impact

MORE THAN SHOPPING, A COMMUNITY EXPERIENCE

TRANSFORMING AUCHAN INTO A CULTURAL & SOCIAL DESTINATION

FROM HYPERMARKET TO EXPERIENCE HUB

INTERNATIONAL BENCHMARK ANALYSIS

1. CARREFOUR
Multi-functional hub

- Partners with brands like Fnac, Darty in-store
- Increases visit value beyond grocery shopping

LESSON FOR AUCHAN:
Introduce local services: pharmacy, post office, fitness, tech services, etc.

2. IKEA
City concept

- IKEA Planning Studios in city centers
- Focus on consultations & inspiration, not only products

LESSON FOR AUCHAN:
Create a "Convenience & Inspiration Center" for advice on healthy living, home management, budgeting.

3. WHOLE FOODS MARKET
Gastro experience

- In-store restaurants & cooking classes
- Turns shopping into a food experience

LESSON FOR AUCHAN:
Create gastro zones, live cooking, healthy food education.

4. EDEKA
Gastro-tourism & engagement

- Show kitchens & cooking classes with in-store products
- Gives knowledge and builds loyalty

LESSON FOR AUCHAN:
Launch "Healthy Living Academy" with chefs, workshops, and product education.

5. TESCO
Hyper-localizing

- Supports local farmers & artisans
- Community tables, small libraries in-store

LESSON FOR AUCHAN:
Create "Local Market" area inside stores and strengthen partnership with local producers.

6. KROGER
Smart digital experience

- Smart shelves, digital price tags
- Personalized offers & recipes via app

LESSON FOR AUCHAN:
Use Bizalomkártya data for personalized offers in-app near shelves.

ADDITIONAL INNOVATIVE MODELS

CLICK & COLLECT HUB (DARK STORE ELEMENTS)

- Part of the store turned into automated dark store
- Drive-thru / Pick-up zones for online orders
- Ideal for last-mile delivery

SERVICE HUB (ONE-STOP SHOP)

- Combine multiple services: post, pharmacy, dry cleaning, banking, health kiosks
- Saves time, increases store relevance

VERTICAL FARMING IN-STORE

- In-store vertical farms for herbs, greens, vegetables
- Ensures freshness & transparency
- Strong sustainability & innovation message

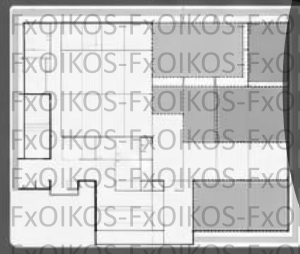
SITE ANALYSIS – AUCHAN HYPERMARKET

INSIDE THE STORE
- Wide walkways
- Underutilized spaces
- Large entrance area
- Food court potential
- 4,000 m² unused space (opportunity zone)

OUTSIDE THE STORE
- Large parking area
- Low utilization at night
- Perfect for events & drive-in cinema

CUSTOMER PROFILE
- Families
- Young people
- Seniors
- Peak on weekends

POTENTIAL ZONES MAP



- Event Stage / Cultural Zone (2,000 m²)
- Gastro & Food Experience Zone (1,000 m²)
- Health & Wellness / Service Hub (1,000 m²)
- Local Market / Producers Zone (500 m²)
- Flexible Event Space (500 m²)
- Parking – Drive-in Cinema (Night Use)

KEY TAKEAWAY
Auchan already has the space, location, and traffic.
We need new ways to use it and new reasons for people to stay longer and come back more often.

PROPOSED EXPERIENCE CONCEPT

GOAL: TURN AUCHAN INTO A PLACE PEOPLE LOVE TO VISIT – EVEN WITHOUT A SHOPPING LIST

More visits | Longer stay | Bigger basket | Stronger loyalty | Better brand perception | Community connection

FINANCIAL ANALYSIS

ESTIMATED INVESTMENT (ONE-TIME)

Event stage & equipment	€150,000
Seating & furniture	€80,000
Interior activations & design	€120,000
Cinema (projector, screen, audio)	€100,000
Event & operations team (1 year)	€200,000
TOTAL ESTIMATED INVESTMENT	**€650,000**

REVENUE & BENEFITS (ANNUAL)

DIRECT IMPACT

Increased footfall	+10–20%
Higher average dwell time	+30%
Basket size increase	+10–15%
New tenants & partnerships	+€200K+

INDIRECT IMPACT
- Stronger customer loyalty
- Improved brand perception
- Organic social media reach
- Community engagement

KEY KPI TARGETS (ANNUAL)

Footfall	Avg. Stay Time	Weekend Traffic	Basket Size	Loyalty Members
+10–20%	+30%	+15%	+10–15%	+10%

KEY TAKEAWAY: LOW INVESTMENT, HIGH IMPACT, FAST ROI
The project requires limited investment but delivers significant uplift in traffic, sales, loyalty, and brand value.

SHORT-TERM & SCALABLE IMPLEMENTATION ROADMAP

PHASE 1 (0–3 MONTHS) QUICK WINS
- ✓ Seating zones
- ✓ Pop-up events
- ✓ Local market corner
- ✓ Weekend activities

PHASE 2 (3–6 MONTHS) EXPERIENCE BUILDING
- ✓ Event stage launch
- ✓ Cooking workshops
- ✓ Partnerships (local services)
- ✓ Kids & family programs

PHASE 3 (6–12 MONTHS) EXPANSION
- ✓ Drive-in cinema launch
- ✓ Health & service hub
- ✓ App personalization
- ✓ Vertical farming pilot

PHASE 4 (12+ MONTHS) SCALING
- ✓ Scale successful formats
- ✓ Expand partnerships
- ✓ Data-driven optimization
- ✓ Replicate to other stores

WHY THIS WORKS FOR HUNGARY?

- ☑ Hungarians value community & experiences
- ☑ Strong interest in gastronomy, culture, and local products
- ☑ Retail spaces are becoming lifestyle destinations
- ☑ Auchan has the space, reach, and trust to lead this change

STRATEGIC POSITIONING

Auchan becomes more than a hypermarket.
It becomes a cultural heart of the community.

YOUR PLACE. YOUR COMMUNITY. YOUR AUCHAN.